fund's annual and semi-annual reports.[494] These materials would include: the fund's current summary and statutory prospectus, SAI, and most recent annual and semi-annual shareholder reports (collectively, the "rule 498B online fund documents").[495] This set of documents would be identical to the set of documents that are publicly accessible online for funds currently relying on rule 498. This proposed condition is designed to implement the contemplated layered disclosure approach by ensuring that current versions of the fund's summary prospectus, statutory prospectus, and SAI would be available online so that existing shareholders who did not receive those documents would have ready access to them in a convenient, centralized location, together with other relevant documents for existing shareholders such as the most recent annual and semi-annual shareholder reports.

The reference to "current" versions is designed to ensure that amendments or supplements to those documents are included in the rule 498B online fund documents as a condition of reliance on proposed rule 498B. Because funds generally continuously offer and sell shares, funds effectively must continuously maintain a current prospectus to satisfy their ongoing obligations to deliver the fund's prospectus to new investors.[496] Thus, a fund relying

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494 *See* proposed rule 498B(c)(1); *see also* proposed rule 498(e) (providing requirements regarding website availability of certain fund documents).

495 The rule 498B online fund documents would not include information required to be filed on Form N-CSR and made available online on a semi-annual basis, as discussed above. *See supra* Section II.D.2. However, this and other information (including information provided in Form N-CSR) that the proposed amendments to rule 30e-1 would require a fund to make available online would have to be made available at the same website address where the rule 498B online fund documents would appear (*e.g.,* the website specified on the cover page or at the beginning of the fund's annual and semi-annual shareholder reports). *See supra* footnote 464 and accompanying text.

496 *See generally supra* footnotes 11 through 13.

on proposed rule 498B would be required to maintain current versions of the rule 498B online fund documents so long as the fund is engaged in a continuous offering. Proposed rule 498B would not specify a time frame for maintaining current versions of these documents online, but when the document is no longer "current," a fund would have to replace it with the current version.[497]

Under the proposal, a fund would be required to include a summary prospectus as one of the rule 498B online fund documents.[498] While funds' use of a summary prospectus is optional under rule 498, we estimate that currently 93% of all funds use a summary prospectus.[499] Without requiring a summary prospectus, proposed rule 498B's new layered disclosure framework for existing shareholders could result in funds having less incentive to use a summary prospectus.[500] We believe it is important to make available both a summary prospectus and the statutory prospectus to continue the current approach for funds, which

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497 *But see* rule 498(e) (specifying the time frame for posting current versions of the documents it requires to appear online (*i.e.,* on or before the time that the summary prospectus is sent or given and until 90 days after the date the fund security is carried or delivered (in the case of reliance on rule 498(c)) or the date that the communication is sent or given (in the case of reliance on rule 498(d))).

498 The proposed rule specifies that the current summary prospectus that the fund makes available online must comply with the requirements described in rule 498(b). *See* proposed rule 498B(a)(7).

499 *See supra* footnote 82.

500 For example, the option that proposed rule 498B would provide would reduce—or possibly fully eliminate—the cost savings currently associated with printing and mailing a summary prospectus as opposed to the statutory prospectus, because those summary prospectuses would be made available online instead of being printed and mailed. *See also* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at nn.400 and 401 (discussing the cost savings associated with printing and mailing a mutual fund summary prospectus).

gives investors the option to choose the amount and type of information to review.[501] To the extent that existing shareholders might find it useful to review a fund prospectus (for example, in connection with a prospective additional investment in the fund), this condition would continue to make summary information about the fund available online, which we believe investors may be more likely to use and understand than the lengthier statutory prospectus.[502]

Although funds would be required to prepare a summary prospectus to comply with the conditions of rule 498B, a statutory prospectus could still be used to satisfy prospectus delivery obligations under section 5(b)(2) of the Securities Act. We understand that some funds that prepare summary prospectuses still choose to deliver a statutory prospectus under certain circumstances. For example, we understand that certain funds that prepare summary prospectuses still choose to send or give a statutory prospectus when investors are invested in multiple series covered by a single statutory prospectus. Likewise, certain funds may choose to send or give a statutory prospectus for certain product lines where the fund believes it would be helpful for investors to see the full suite of fund options (*e.g.*, target date funds,

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501 The layered disclosure framework represented by the summary prospectus was designed to provide investors with "ready access to the information that investors need, want, and choose to review in connection with a mutual fund purchase decision." *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at Section III.B.1. In adopting the summary prospectus framework, the Commission stated: "we believe that the new rule will result in funds providing investors with more useable information than they receive today in a format that investors are more likely to use and understand." *Id.*

Further, commenters have expressed an overall preference for concise, layered summary disclosure. *See supra* footnotes 27 through 30 and accompanying text.

502 *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at paragraph accompanying n.195; Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at text accompanying and following n.1038.

sector funds, or target risk funds), to the extent that multiple series of the fund are described in a single statutory prospectus.[503]

The proposed rule would include additional conditions regarding the format, or formats, in which the rule 498B online fund documents would be presented on the website. First, the format must be human-readable and capable of being printed on paper in human-readable format.[504] This requirement is designed to help ensure that the information provided will be user-friendly, both online and when printed. This would impose a standard of usability on the online information that is comparable to the readability of a paper document.

Second, the format must provide persons with the ability to move back and forth within documents and between certain documents. Specifically, the format must permit persons accessing the statutory prospectus or SAI to move directly back and forth between each section heading in a table of contents of such document and the corresponding section of the document.[505] Similarly, the format must permit persons accessing the summary prospectus to move directly back and forth between: (1) each section of the summary prospectus and any section of the statutory prospectus and the SAI that provides additional detail concerning that section of the summary prospectus; or (2) links located at both the beginning and end of the summary prospectus, or that remain continuously visible to persons accessing the summary prospectus, and tables of contents of the prospectuses and the SAI.[506] These requirements are designed to result in online information that is in a better and more usable format than the

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503 *See* rule 498(a)(3) and (b)(4) under the Securities Act (collectively limiting the scope of a summary prospectus to a single fund, or series).

504 Proposed rule 498B(c)(1)(ii)(A).

505 Proposed rule 498B(c)(1)(ii)(B).

506 Proposed rule 498B(c)(1)(ii)(C).

same information when provided in paper. Being able to move directly within and between documents would be more efficient than the equivalent task in a paper document (*i.e.*, flipping through multiple pages).

Additionally, documents required to appear online would be subject to retention requirements that would require that persons accessing the rule 498B online fund documents would have to be able permanently to retain, free of charge, an electronic version of such materials in a format that is human-readable and permits persons accessing the statutory prospectus or SAI to move directly back and forth between each section heading in a table of contents and the corresponding section of the document.[507] This condition would provide shareholders with the same retention capabilities they would have with paper copies of the information, while still maintaining the technological enhancements associated with the electronic versions of the materials.

Further, there would be a safe harbor available if the rule 498B online fund documents were temporarily unavailable at the specified website, provided that the fund meets certain conditions.[508] Those conditions would be substantially similar to the conditions associated with the proposed safe harbor provision addressing the website availability of the materials that the fund files on Form N-CSR.[509] As with that safe harbor, we recognize that there may be times when, due to events beyond a fund's control, a fund may temporarily not be in

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[507] Proposed rule 498B(c)(1)(iii).

[508] Proposed rule 498B(c)(1)(iv).

[509] *See* proposed rule 30e-1(b)(2)(vi); *see supra* footnotes 479 through 481 and accompanying text.